Grattan researchers say a higher, broader GST would repair state budgets and fund income tax cuts

The federal-state side of the GST debate: why state budgets are under strain, how the GST base is narrowing, and a package designed to protect low-income households.

WHAT HAPPENED

The authors say the GST began in 2000 as a bargain: the states received all the revenue and abolished narrower taxes. They argue it now falls short, with GST revenue to the states falling from 3.7% of the economy in 2007 to 3.3% in 2025.

State budgets are under strain. State debt more than doubled from 2019 to 2025, the states' share of national debt is forecast to reach about 38% by 2030, and interest payments now exceed spending on housing, community amenities and the environment combined.

The GST raises only about 11% of tax revenue, below the OECD average, and only about 54% of household consumption is taxed. The authors say exemptions are poorly targeted, because the poorest 40% of households get only about a third of the benefit of food exemptions.

Their package raises the rate from 10% to 15% and covers all food, raising about $76 billion a year. It funds $33 billion of income tax cuts and $25 billion of welfare increases, with the rest going to the states to cut debt and phase out stamp duty. The authors say the poorest 40% would be better off on average.

BY THE NUMBERS

10% to 15%
(all food included) Proposed GST rate (and base)
Grattan report, 19 Oct 2026

about $76 billion a year
Extra GST revenue
Grattan estimate, Oct 2026

$33b / $25b a year
Use of the revenue: income tax cuts / welfare
Grattan package, Oct 2026

about 11%
GST share of total tax revenue
2026 (below the OECD average)

KEY TERMS

GST: A broad tax on consumption, collected by the federal government and passed to the states.

Regressive tax: A tax that takes a larger share of income from low-income earners than from high-income earners.

Tax base: The things a tax applies to; a broader base taxes more of spending, income or wealth.

Vertical fiscal imbalance: The gap between the revenue the states raise themselves and the spending they are responsible for, filled by federal transfers.

EXAM ANGLE

An argument for broadening the tax base while compensating low-income households: test it on equity, efficiency and political feasibility. Pair it with the 19 Oct Grattan record, which carries the government response.

SYLLABUS LINK

TOPIC 3: taxation and the distribution of income. It links to TOPIC 4: fiscal policy and political constraints.

TRY THIS

Explain why a broader GST base may be more efficient than exempting some foods. (4 MARKS)
Describe how the package is designed to protect low-income households. (3 MARKS)

Source: Matthew Bowes and Erin-Lea Brown (Grattan Institute), The Conversation, 19 October 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/if-we-want-a-better-australia-we-need-to-raise-the-gst-and-cut-income-taxes-294156